

SENATE BILL 2342

By Lamar

AN ACT to amend Tennessee Code Annotated, Title 47;
Title 55 and Title 56, relative to vehicle value
protection agreements.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 56, Chapter 55, is amended by deleting the chapter and substituting:

56-55-101. Short title.

This chapter is known and may be cited as the "Tennessee Vehicle Value Protection Product Act."

56-55-102. Chapter definitions.

As used in this chapter:

(1) "Administrator" means the person that is responsible for the administrative or operational functions of a vehicle value protection agreement, including the adjudication of a benefit request by a contract holder;

(2) "Contract holder" means a person that is the purchaser or holder of a vehicle value protection agreement;

(3) "Covered vehicle" means a vehicle that is the subject of a vehicle value protection agreement;

(4) "Dealer" means:

(A) A motor vehicle dealer, as defined in § 55-17-102; or

(B) A recreational vehicle dealer as defined in § 55-17-401;

(5) "Finance agreement" means a loan agreement for the purchase or refinancing of a vehicle; a retail installment sales contract for the purchase, refinancing, or lease of a vehicle; or an agreement to lease a vehicle;

(6) "Insurer" means a licensed insurance company authorized to issue contractual liability insurance under this title;

(7) "Provider" means a person that is obligated to provide a benefit in accordance with a vehicle value protection agreement;

(8) "Secure bill of sale" means an agreement between a dealer and a contract holder that:

(A) Identifies the vehicle by year, make, and VIN or by other identifying information;

(B) Shows the time and date of sale; and

(C) Is signed by both the buyer and the seller;

(9) "Vehicle" means:

(A) A motor vehicle, as defined in § 55-17-102; or

(B) A recreational vehicle, as defined in § 55-28-102; and

(10) "Vehicle value protection agreement":

(A) Means a contractual agreement between a provider and a contract holder that provides benefits applied toward:

(i) The value of the contract holder's covered vehicle upon the occurrence of the following:

(a) An adverse event, including damage incurred and reported on a vehicle history report, causing the covered vehicle to decrease in value;

(b) The total loss or unrecovered theft of the covered vehicle that, at the time of the loss or theft, had decreased in value compared to the value of the vehicle at the time it was purchased; or

(c) Events covered by a contractual agreement between a dealer and a contract holder that provide the contract holder a loyalty benefit when the contract holder returns to the dealer to purchase or lease a replacement vehicle after a total loss, unrecovered theft, or trade-in of the covered vehicle; or

(ii) The finance agreement for or secure bill of sale on a replacement vehicle upon the occurrence of an event described in subdivisions (10)(A)(i)(a)-(c);

(B) Includes a trade-in agreement, diminished value agreement, cash down payment protection agreement, or depreciation benefit agreement; and

(C) Does not include a debt waiver or a service contract, as defined under § 56-2-126.

56-55-103. Requirements for offering a vehicle value protection agreement.

(a) A provider shall not offer a vehicle value protection agreement unless the agreement meets the requirements of this chapter. A provider shall not condition the extension of credit, the terms of credit, or the terms of the related vehicle sale or lease upon the purchase of a vehicle value protection agreement.

(b) A vehicle value protection agreement must:

(1) Provide a benefit to the contract holder upon the trade-in, total loss, or unrecovered theft of a covered vehicle. The benefit may be:

(A) A credit toward the purchase or lease of a subsequent or replacement vehicle; or

(B) An amount applied to the cash value of the covered vehicle at the time of trade-in;

(2) Identify, in the contract, the administrator or provider, the dealer, the contract holder, and the terms of the sale;

(3)

(A) Guarantee the provider's obligations by an insurance policy that complies with § 56-55-106; and

(B) Conspicuously state that the provider's obligations are guaranteed by an insurance policy, issued by an insurer, that pays the contract holder if the provider fails to perform its obligations under the vehicle value protection agreement;

(4) Outline the terms, including the purchase price of the covered vehicle and any eligibility requirements, conditions of coverage, or exclusions, of the vehicle value protection agreement;

(5) Notify the contract holder of the following:

(A) Whether the vehicle value protection agreement is cancellable and the procedures for requesting any refund of the unearned purchase price of the agreement paid by the contract holder;

(B) The methodology for calculating any refund of the unearned purchase price of the vehicle value protection agreement after the agreement is canceled;

(C) Any procedures the contract holder must follow to obtain a benefit under the terms and conditions of the vehicle value protection agreement and, if applicable, a telephone number, website, and address where the contract holder may apply for a benefit; and

(D) That neither the extension of credit, the terms of credit, nor the terms of the related vehicle sale or lease may be conditioned upon the purchase of the vehicle value protection agreement; and

(6) State the terms, restrictions, and conditions governing cancellation of the vehicle value protection agreement prior to the termination date of the agreement by either the provider or the contract holder.

56-55-104. Requirements for a provider to cancel a vehicle value protection agreement.

(a)

(1) To cancel a vehicle value protection agreement, the provider must mail a written notice to the contract holder at the last-known address of the contract holder contained in the records of the provider at least five (5) days prior to cancellation by the provider; provided, that, the cancellation takes effect immediately upon the provider sending the notice to the contract holder if the reason for the cancellation is:

(A) Nonpayment of any provider fee required to be paid by the contract holder;

(B) A material misrepresentation by the contract holder to the provider; or

(C) A substantial breach of duties by the contract holder relating to the covered vehicle or its use.

(2) The notice must state the effective date of the cancellation and the reason for the cancellation.

(b)

(1) If a vehicle value protection agreement is canceled by the provider for a reason other than nonpayment of the provider fee, the provider shall refund to the contract holder, on a pro rata basis, any unearned provider fee paid by the contract holder; provided, that, the provider may charge a reasonable administrative fee of up to seventy-five dollars (\$75.00).

(2) If coverage under the vehicle value protection agreement continued after a benefit was paid under the agreement, the provider may deduct the amount of the benefit paid from the refund to the contract holder.

56-55-105. Third-party administrator.

A provider may perform as an administrator or retain the services of a third-party administrator. An administrator has the same powers and duties established under this chapter as a provider.

56-55-106. Vehicle value protection agreements - Contractual liability insurance policies.

A provider shall guarantee the provider's obligations by an insurance policy, issued by an insurer, that pays the contract holder if the provider fails to perform the obligations in accordance with the vehicle value protection agreement. The insurance policy must provide that:

(1) If the provider fails to perform its obligations under the vehicle value protection agreement, the contractual liability insurer will pay all covered amounts that the provider is legally obligated to pay according to the agreement; and

(2) The contract holder may file directly with the insurer for reimbursement if the payment due under the terms of the vehicle value protection agreement is not made by the provider within sixty (60) days after proof of loss or trade-in of the covered vehicle has been filed in accordance with the terms of the agreement.

56-55-107. Vehicle value protection agreements not insurance.

A vehicle value protection agreement that complies with this chapter is not insurance and is exempt from regulation as insurance.

56-55-108. Rulemaking.

The commissioner of commerce and insurance shall promulgate rules to effectuate this chapter. The rules must:

(1) Include:

(A) Additional disclosures for the benefit of the warranty holder, in the discretion of the commissioner;

(B) Record keeping requirements;

(C) Registration fees;

(D) Penalties for violating this chapter;

(E) Procedures for public complaints; and

(F) The conditions under which surplus lines insurers may be rejected for the purpose of underwriting vehicle protection product warranty agreements; and

(2) Be promulgated in accordance with the Uniform Administrative Procedure Act, compiled in title 4, chapter 5.

SECTION 2. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 3. This act takes effect July 1, 2026, the public welfare requiring it, and applies to agreements entered into, renewed, or amended on or after that date.